

SENATE BILL 2717

By Stevens

AN ACT to amend Chapter 158 of the Private Acts of 1992; as amended by Chapter 103 of the Private Acts of 1993; Chapter 62 of the Private Acts of 1993; Chapter 27 of the Private Acts of 2001; Chapter 37 of the Private Acts of 2003; Chapter 87 of the Private Acts of 2006; and any other acts amendatory thereto, relative to the charter for the City of Martin.

BE IT ENACTED BY THE GENERAL ASSEMBLY OF THE STATE OF TENNESSEE:

SECTION 1. Chapter 158 of the Private Acts of 1992, as amended by Chapter 103 of the Private Acts of 1993, Chapter 62 of the Private Acts of 1993, Chapter 27 of the Private Acts of 2001, Chapter 37 of the Private Acts of 2003, Chapter 87 of the Private Acts of 2006, and any other acts amendatory thereto, is hereby repealed and the following sections shall become the charter for the City of Martin.

SECTION 2. The City of Martin, Tennessee, and the inhabitants thereof shall continue as a body politic and corporate, by the name and style of the City of Martin and this act shall constitute its complete charter. The City of Martin shall have perpetual succession, may sue and be sued, contract and be contracted with, grant, receive, purchase and hold real, mixed and personal property, or dispose of the same, for the benefit of such city, and may have and use an official seal.

SECTION 3. The boundaries of the city shall be those fixed by Chapter 552, Private Acts of 1919, and all acts amendatory thereto, which shall be incorporated herein by reference, and by any annexation or contraction made pursuant to general law.

SECTION 4. The mayor and aldermen are hereby empowered to:

(A) Enact such ordinances as may be necessary to preserve the health, quiet, peace, morals and good order of the city.

(B) Fix the compensation of all the officers and agents of such corporation not fixed herein.

(C) Declare what is a nuisance, and to prevent and abate the same.

(D) Levy and collect taxes on all property subject to taxation.

(E) Appropriate money and provide for the debts and operating expenses of the corporation.

(F) License and tax all privileges taxable by the laws of the state.

(G) Regulate the theatricals and other shows and exhibitions.

(H) Regulate the storage, sale or use of firecrackers and all other fireworks, explosives and combustibles.

(I) Impose fines, forfeitures and penalties for the breach of ordinances adopted under this act, and to provide for their recovery; provided, that no fines shall exceed fifty dollars (\$50.00).

(J) Erect and keep a jail in which to confine any person as provided by law.

(K) Regulate or prohibit the running at large in the streets of dogs and other animals.

(L) Designate certain districts as fire limits, and provide for the character of houses that may be built in such limit or limits and to regulate the same.

(M) Provide for the support and maintenance of a police force, and to maintain the same.

(N) Condemn and take, use, and appropriate, any grounds, or real estate necessary for present or future public use.

(O) Keep up the streets, alleys, and sidewalks and to fix the grades of the same, to open others, to abolish, widen or extend the same, and to require owners of property to construct or repair sidewalks adjacent to their property.

(P) Prevent engines and trains from blocking the streets and alleys, and to regulate their speeds.

(Q) Make suitable regulations for the preservation of life and property from fires and other casualties, and to require all parties before erecting any building to obtain written permission from the city.

(R) Provide for the organization and regulations of fire companies, volunteer or otherwise.

(S) Provide for maintaining and operating a system of waterworks; a sanitary sewer system; and a natural gas distribution system.

(T) Grant franchises or make contracts for public utilities and public services, not to exceed a period of twenty (20) years.

(U) Provide for the collection and disposal of garbage, rubbish and refuse.

(V) Exercise and have all powers, functions, rights, privileges, and immunities granted by general law or necessary or desirable to promote or protect the safety, health, peace, security, good order, comfort, convenience, morals, and general welfare of the city and its inhabitants, and all implied powers necessary to carry into execution all powers granted herein as fully and completely as if such powers were fully enumerated.

SECTION 5. The City shall be divided into three (3) wards which shall be designated as Ward I, Ward II and Ward III. The Board of Mayor and Aldermen by ordinance shall establish the ward boundaries, and the boundaries may be changed as population shifts or as other considerations require. The Boundaries shall be established in conformance with the one (1) person, one (1) vote, doctrine of the Fourteenth Amendment to the Constitution of the United States and shall be reviewed at least once every ten (10) years when the results of the United States Census are available.

On the first Tuesday following the first Monday in November 2002, at the regular November state election, a nonpartisan election shall be held to elect, from the city-at-large, a Mayor for a four (4) year term. At the same election, one (1) individual, who shall reside in Ward I, shall be elected from Ward I as Alderman for a four (4) year term; one (1) individual, who shall reside in Ward II, shall be elected from Ward II as Alderman

for a four (4) year term; and one (1) individual, who shall reside in Ward III, shall be elected from Ward III as Alderman for a four (4) year term. The Mayor and incumbent Aldermen, whose terms have expired on the first day of September 2002, shall have their terms extended to 7:00 p.m. on the first Monday of December 2002. Present incumbent Aldermen shall continue to serve for the terms to which they were elected.

On the first Tuesday following the first Monday in November 2004, at the regular November state election, and every two (2) years thereafter, a nonpartisan election shall be held. At the same election, one (1) individual, who shall reside in Ward I, shall be elected from Ward I as an Alderman for a four (4) year term; one (1) individual, who shall reside in Ward II, shall be elected from Ward II as an Alderman for a four (4) year term; and one (1) individual, who shall reside in Ward III, shall be elected from Ward III as an Alderman for a four (4) year term. The incumbent Aldermen, whose terms would have expired on the first day of September 2004, shall have their terms extended to 7:00 p.m. on the first Monday of December 2004.

It is the intent of the Board of Mayor and Aldermen of the City of Martin, to have a nonpartisan election every two (2) years at the regular November state election, beginning in November 2002. The term of office of an Alderman and the Mayor shall be four (4) years. At the election held in November 2002, there shall be elected a Mayor and one (1) Alderman from each ward for a term of four (4) years. At the election held in November 2004, there shall be elected an Alderman from each ward. In all elections for Mayor or for Alderman, a plurality shall determine the person elected. In case of a tie vote, the incumbent Board of Mayor and Aldermen shall determine the winner.

The terms of office of the Mayor and Aldermen shall commence at 7:00 p.m. on the first Monday of December following their election.

Any qualified resident voter of the city who is twenty-one (21) years of age or will be twenty-one (21) years of age at the time of taking office and has been a resident of the city for one (1) year immediately preceding the election may be qualified as a

candidate for the office of Mayor or Alderman. Provided, however, that no person may qualify and seek the offices of Mayor and Alderman in the same election. Any person living within an annexed territory shall be entitled to the rights and privileges of citizenship, in accordance with the provisions of the annexing municipality's charter, immediately upon annexation as though such annexed territory has always been a part of the city.

Any person who is qualified to vote for members of the General Assembly and who is a resident of the city shall be entitled to vote in all elections. A nonresident, who is the owner of not less than a one-half (1/2) interest in a taxable freehold, or husband and wife who shall have owned a taxable freehold by the entireties within the city for a period of one (1) year preceding the date of such election, and who is a qualified voter for members of the General Assembly, may vote in a city election.

SECTION 6. The mayor and aldermen, before entering upon their duties, shall take an oath that they will honestly and faithfully discharge the duties of their offices without partiality, favor or affection.

SECTION 7. Giving or promising to any person or persons any office, employment, money, benefit, or anything of value, by or on behalf of any candidate, is punishable by a civil penalty of not more than one thousand dollars (\$1,000). Any person who violates this prohibition is ineligible to hold an office or position of employment in the city government for a period of five (5) years.

SECTION 8. The board of mayor and aldermen shall declare that a vacancy exists if the mayor or an alderman resigns, dies, moves residence from the city, moves residence from the ward from which such Alderman was elected, is convicted of malfeasance or misfeasance in office, a felony, a violation of this charter or election laws of the state, fails to attend any meeting of the board for a period of ninety (90) days with no extenuating circumstances, or has been continuously disabled for a period of six (6) months so as to prevent the official from discharging the duties of office.

The Board of Mayor and Aldermen shall by affirmative vote of a majority of the remaining members, within a period of forty-five (45) days from the date on which a vacancy exists, appoint a qualified person to fill the vacancy for the remainder of the unexpired term or until the next regular city election, whichever occurs first. A vacancy in the office of Mayor shall be filled as provided for in Section 11 of this Act.

Provided, in the case of a vacancy resulting from the registration of an Alderman for the sole purpose of qualifying and seeking the office of Mayor in the next regular city election, the Board of Mayor and Aldermen shall meet at least twenty (20) days prior to the qualifying deadline for that election for the purpose of declaring a vacancy in the position. Any portion of the unexpired term beyond the next regular city election shall be filled by the voters in a special election to be held at the same time as the regular city election.

SECTION 9.

(A) The mayor and six (6) aldermen elected under this charter shall compose the board of mayor and aldermen, in which is vested all corporate, legislative and other powers of the city, except as otherwise provided in this charter.

(B) The compensation of the mayor and aldermen shall be set by ordinance, but the salary of the mayor or any alderman may not be changed during the term of office. The mayor and aldermen may be reimbursed for actual and necessary expenses incurred in the conduct of their official duties.

(C) The board of mayor and aldermen shall meet regularly at least once a month at the times and places prescribed by ordinance. The board shall meet in special session upon at least forty-eight (48) hours written notice of the mayor, city manager, or any three (3) aldermen and served on the other members of the board or as agreed upon by a duly adopted motion at a regular or special meeting. Only the business stated in the written call or stated at the meeting when the special meeting is called may be transacted at a special meeting.

(D) A majority of the aldermen, excluding any vacancies, is a quorum. The ayes and nays of all votes shall be recorded in the minutes. The board may by ordinance adopt rules and bylaws to govern the conduct of its business, including procedures and penalties for compelling the attendance of absent members. The board may subpoena and examine witnesses and order the production of books and papers.

SECTION 10. The mayor shall preside at meetings of the board, and shall have a vote on any matters coming before the board. The mayor shall be the officer to accept process against the city, and shall perform other duties imposed by this charter and by ordinances not inconsistent with this charter.

SECTION 11. A Vice Mayor shall be elected at the first meeting after each election by the Board from among the Aldermen. The term of office of the Vice Mayor is for two (2) years. The Vice Mayor shall perform the duties of Mayor during a temporary absence or inability to act. In case of a vacancy in the office of Mayor, the Vice Mayor shall fill the vacancy for the remainder of the unexpired term or until the next regular city election, whichever occurs first. If the Vice Mayor is completing a term in the office of Mayor, the position as an Alderman shall become vacant and the Board shall fill the vacancy as provided in Section 8. The Board shall select another from the Aldermen to fill out the unexpired term of the Vice Mayor.

SECTION 12. Any action of the board having a regulatory or penal effect or awarding franchises shall be done by ordinance. Ordinances shall be in written form upon being introduced. The enacting clause of an ordinance is "Be it ordained by the board of mayor and aldermen of the City of Martin:". Every ordinance shall be approved on two (2) readings at least one (1) week apart. An ordinance may receive first reading upon its introduction. Ordinances shall take effect upon final reading, adoption and being signed by the mayor unless a different effective date is designated in the ordinance.

An ordinance shall be signed by the mayor before it becomes effective. The mayor shall affix his approval or disapproval after adoption by the board. If the mayor withholds his signature until the next regular meeting of the board, the ordinance shall become effective for

failure to veto. The mayor shall state any reasons for vetoing an ordinance in writing and shall transmit such reasons and the ordinance back to the board for its action. The board may pass the ordinance over the veto by a two-thirds (2/3) vote in the full membership of the board.

SECTION 13. The city government shall be organized into such departments and offices as shall be provided by ordinance. The board shall determine by ordinance the functions and duties of all departments and offices. The board may establish, merge, or consolidate offices, positions of employment and departments, and may transfer or change the functions and duties of offices, positions of employment and departments.

SECTION 14. The mayor has the following duties:

(A) The mayor or the mayor's designee has the power to bid on property for the city at all tax and judicial sales when the city is a party.

(B) The mayor is an ex officio member of all standing committees, but may not vote in such committees.

(C) The mayor may call to the mayor's assistance the city police and all citizens to aid the mayor in preventing or quelling any riot, unlawful assembly, or breach of the peace, and all persons called out by the mayor shall be subject to the mayor's orders while on the duty for which they are thus called.

(D) The mayor shall communicate, from time to time, to the board such information and recommend such measures as may, in the mayor's judgment, tend to the improvement of the financial and general interests of the city.

(E) The mayor shall report to the board any neglect of duty by city personnel which may come to the mayor's knowledge.

(F) When any legal process is served on the mayor in any suit against the city, the mayor shall immediately deliver the same, or notice thereof, to the city attorney.

(G) It is the duty of the mayor to perform such other acts as the board may, from time to time, require.

(H) In case of the absence of the mayor, the vice mayor shall discharge the mayor's duties; and if the mayor's office is vacated by death or otherwise, the vice mayor shall discharge the duties until a successor is elected and qualified.

SECTION 15. City Manager. Appointment; selection.

(A) The board of mayor and aldermen shall appoint a chief administrative officer of the city who shall be the city manager, and who shall serve at the pleasure of the board. The city manager shall be required to reside within the city limits of Martin, Tennessee, or the immediate vicinity of Martin, Tennessee.

(B)

(1) The city manager shall be selected on the basis of training, experience, and other administrative qualifications for the office and without regard to such person's political or religious preference or such person's place of residence at the time of appointment.

(2) No member of the board of mayor and aldermen shall be eligible for the position of city manager within two (2) years after the expiration of the member's latest mayoral or aldermanic term.

City Manager pro tempore. The board of mayor and aldermen may designate a qualified administrative officer of the city to assume the duties and authority of the city manager during periods of vacancy in the office, temporary absences, or disability of the city manager.

Relationship between city manager and the board of mayor and aldermen.

(A) The city manager shall be responsible to the board of mayor and aldermen for the administration of all units of city government under the city manager's jurisdiction and for carrying out the ordinances, resolutions, and policies adopted by the board.

(B)

(1) Except for the purpose of inquiry, the board of mayor and aldermen and its members shall deal with the city's administrative officers and other employees solely through the city manager.

(2) Neither the board of mayor and aldermen nor any member thereof shall give orders to the city manager's subordinates or otherwise interfere with managerial functions through such means as directing or requesting the appointment, hiring, or removal of any of the city manager's subordinates, or the making of particular purchases from, or contracts with, any specific organization, company, or individual.

Duties. The city manager shall:

(A) Supervise the administrative affairs of the city, be charged with the preservation of the public peace and health, the safety of persons and properties, the enforcement of the laws, ordinances, and franchises, and the development and utilization of the city's resources;

(B) Make such reports and recommendations to the board as the city manager may deem desirable and perform such other duties as may be prescribed by this charter or required of the city manager by ordinance or resolution of the board of mayor and aldermen not inconsistent with this charter; and

(C) Have the right to take part in the discussion of all matters coming before the board of mayor and aldermen, but not the right to vote.

Purchases and contracts; competitive bidding procedures; other public improvements.

(A) The city manager shall be responsible for all city purchasing but may delegate such duty to any subordinate appointed by the city manager.

(B)

(1) Competitive prices for all purchases and public improvements shall be obtained whenever practicable and in accordance with regulations established by ordinance, and the purchase made from or the contract awarded to the lowest responsible bidder; provided, that the city shall have the power to reject any and all bids.

(2) Notwithstanding any other provision of this Charter to the contrary, upon the declaration of an emergency by the board of mayor and aldermen, the city manager shall be empowered to make any necessary purchases and improvements in order to meet and respond to any such emergency without the necessity of competitive bidding.

(3) Formal sealed bids shall be obtained in all transactions involving the expenditure of ten thousand dollars (\$10,000) or more, and the transaction shall be evidenced by written contract submitted to and approved by the board of mayor and aldermen; provided, that in cases where the board of mayor and aldermen indicate by formal unanimous resolution of those present at the meeting, based upon the written recommendation of the city manager, that it is clearly to the advantage of the city not to contract with competitive bidding, it may authorize noncompetitive contracts.

(4) The board of mayor and aldermen may also authorize the making of public improvements or the performing of any other city work by any city department or agency without competitive bidding.

(C) Purchasing and contract procedures not prescribed by this charter or other law may be established by ordinance.

SECTION 16. City Recorder.

The board of mayor and aldermen shall appoint a City Recorder, who shall serve for an indefinite term.

The Recorder shall, along with the city manager, prepare and monitor the annual budget for all departments.

The Recorder shall: supervise all accounting functions for all funds; supervise the collection, disbursement and safe keeping of all funds of the city; develop long-range financial planning; and act as advisor to the Board of Mayor and Aldermen and city manager on all questions relating to the business and financial affairs of the city.

The Recorder shall keep the Board of Mayor and Aldermen advised as to the financial condition of all funds of the city and the future needs of the city.

The Recorder shall prepare the agenda for the governing body's meeting and be responsible for the minutes and maintenance of the records of the proceedings of such meeting.

The Recorder shall prepare resolutions and ordinances for consideration by the governing body.

The Recorder shall be responsible for the maintenance of all types of insurance coverage such as health, liability, workers' compensation, etc., and maintain an inventory of all equipment and real estate owned by the city.

The Recorder shall attend all meetings of the Board of Mayor and Aldermen at the Board's request.

The Recorder shall perform other duties as directed by the Board of Mayor and Aldermen.

The Recorder shall be required to reside within the city limits of Martin, Tennessee, or within the immediate vicinity of Martin, Tennessee.

SECTION 17. The board of mayor and aldermen shall appoint a city attorney, who is licensed to practice law in the State of Tennessee and is in good standing. The city attorney is responsible for advising the board and officers and employees concerning legal aspects of their duties and responsibilities; approving as to form and legality all contracts, deeds, bonds, ordinances, resolutions, motions, and other official documents; and performing such other duties as may be prescribed by the board.

SECTION 18. The board of mayor and aldermen shall appoint a city judge, who is licensed to practice law in the State of Tennessee and is in good standing, who shall hold office for a term of three (3) years unless removed by the board. The board shall also designate a person who shall serve in the absence or incapacity of the judge.

The jurisdiction of the city judge shall extend to the trial of all offenses against the ordinances of the city, and costs in such trials shall be fixed by ordinance. The city judge has the power to levy fines, penalties, forfeitures and costs, to issue all necessary process, to administer oaths, and to maintain order. Such power includes the power to punish contempt by a fine of not more than fifty dollars (\$50.00). The sole compensation for serving as city judge is a salary fixed by the board, and all fees for actions or cases in his court belong to the city and shall be paid into the city treasury.

Fines and costs may be paid by installments to be fixed and security determines as provided by ordinance. Upon willful failure to pay fines and costs or to furnish security, the city judge shall request the city attorney to proceed against the offender in a civil suit. Receipts of the city court shall be deposited with the recorder.

The city judge shall keep a docket of all of the court's cases.

The city judge shall be the exclusive judge of the law and the facts in every case before the court, and no officer or employee of the city shall attempt to influence his decision except through pertinent facts presented in open court.

SECTION 19. The city manager, with the approval of the board of mayor and aldermen, shall hire all employees who are designated as department heads subject to established personnel policies as adopted by the board of mayor and aldermen and in accordance with Section 21 of this charter.

All other employees shall be hired by their respective department heads, with the approval of the city manager, subject to established personnel policies as adopted by the board of mayor and aldermen and in accordance with Section 21 of this charter.

The city manager shall also have the authority to promote, demote, suspend, transfer, terminate, and otherwise discipline all department heads and subordinate employees at any time, subject only to any personnel rules and regulations adopted by ordinance or resolution by the board. Any hearings on, or appeals from, the city manager's personnel decisions provided for in the personnel rules and regulations shall

be exclusively before the city manager or a hearing officer designated by the city manager.

The city manager shall supervise and control the work of the recorder, the chief of police, the fire department chief, the city attorney, and all other officers, and of all departments and divisions created by this charter or that hereafter may be created by the board.

SECTION 20. The employment and promotion of employees of the city shall be on a basis of merit, considering technical knowledge required to perform satisfactorily the work, experience in the particular or similar line of work, and administrative or supervisory qualifications.

SECTION 21. The board may adopt supplementary rules and regulations governing employment by the city, not inconsistent with the provisions of this charter.

SECTION 22. The mayor and every officer, agent, and employee of the city having duties embracing the receipt, disbursement, custody, or handling of money, and other officers and employees designated by the board, shall give a fidelity bond or faithful performance bond, as determined by the board with some surety company authorized to do business in the State of Tennessee, in such amount as shall be prescribed by the board. All such bonds and sureties thereto shall be subject to approval by the board and the cost of such bonds shall be paid by the city. In lieu of a fidelity bond or faithful performance bond, the board may accept insurance coverage for employee crime/dishonesty as part of the city's overall policy with its insurance carrier with costs for such policy paid for by the city.

SECTION 23. No employee of the city shall continue in the employment of the city after filing a nominating petition for election to any city office. For the purposes of this section, "employee of the city" shall not be interpreted to mean the mayor, aldermen, members of boards or commissions, the city attorney or the city judge. If any Alderman whose term of office would not otherwise expire within forty-five (45) days of the next regular city election, should choose to qualify and seek the office of Mayor in the next regular city election, that Alderman

must first submit his resignation of his current aldermanic position at least thirty (30) days prior to the qualifying deadline for petitions to be filed for the office.

SECTION 24. Prior to the beginning of each fiscal year, the city manager shall submit to the board a proposed budget for the next fiscal year, showing separately for the general fund, each utility, and each other fund the following:

(A) Revenue and expenditures during the preceding year, estimated revenue and expenditures for the current fiscal year;

(B) Estimated revenue and recommended expenditures for the next fiscal year;
and

(C) Any other information and data, such as work programs and unit costs, in justification of recommended expenditures that may be considered necessary by the city manager.

A copy of the budget in full shall be filed with the city recorder for public inspection and a copy shall be furnished to each alderman.

SECTION 25. After receiving the city manager's proposed budget, the board shall fix a time and place for a public hearing thereon. A notice of the hearing shall be published one (1) time in a newspaper having general circulation in the city. The publication shall appear at least ten (10) days before the hearing.

SECTION 26. After the public hearing, the board shall adopt the budget with such modifications as it considers necessary or desirable. If emergency conditions prevent the adoption of a budget before the beginning of the new fiscal year, the appropriations of the last fiscal year shall become the appropriations for the new fiscal year. Amendments may be made to the original budget at any time during a current fiscal year after ten (10) days' notice published in the newspaper and a public hearing before the board.

SECTION 27. All property subject to taxation shall be subject to the property tax levied by the city.

SECTION 28. The city recorder shall add to the assessment rolls any taxable property that may have been omitted by the county assessor. Such property shall be appraised and assessed at the same ratio as other property of the same class located in the city.

SECTION 29. The board shall make a tax levy, expressed as a fixed rate per one hundred dollars (\$100) of assessed valuation. If the board fails to do so, the prior year's tax rate shall continue in effect.

SECTION 30. The due dates of property taxes shall be fixed by ordinance and provision may be made for equal semiannual installments. The city shall send tax bills to taxpayers, showing the assessed valuations, amount of taxes due, tax due dates, and information as to delinquency dates and tax, penalty, or interest thereon. Property taxes which become delinquent are subject to penalty and interest as fixed by ordinance. On and after the date when such taxes become delinquent, the tax records of the city shall have the force and effect of a judgment of a court of record.

SECTION 31. The board may provide by ordinance for the collection of delinquent taxes by distress warrants issued by the mayor for the sale of goods and chattels to be executed by any police officer of the city under the laws governing execution of such process; or by the county trustee as provided by general law; or by the city attorney acting in accordance with general laws providing for the collection of delinquent city or county taxes; by garnishment; by suits in chancery; or by any two (2) or more of the foregoing methods, or by the use of any other available legal process or remedy.

SECTION 32. Notwithstanding any provision of this charter, the board may elect to operate under or adopt any general law or public act available to municipalities of the state, in lieu of or in addition to provisions of this charter.

SECTION 33. If any provision of this act or the application thereof to any person or circumstance is held invalid, such invalidity shall not affect other provisions or applications of the act which can be given effect without the invalid provision or application, and to that end, the provisions of this act are declared to be severable.

SECTION 34. Nothing in this act shall be construed as having the effect of altering the salary of any incumbent prior to the end of the term for which such public officer was elected.

SECTION 35. Nothing in this act shall be construed as having the effect of removing any incumbent from office or abridging the term of any official prior to the end of the term for which such official was elected.

SECTION 36. This act shall have no effect unless it is approved by a two-thirds (2/3) vote of the legislative body of the City of Martin. Its approval or nonapproval shall be proclaimed by the presiding officer of the legislative body and certified to the secretary of state.

SECTION 37. For the purpose of approving or rejecting the provisions of this act, it shall be effective upon becoming a law, the public welfare requiring it. For all other purposes, it shall become effective as provided in Section 36, the public welfare requiring it..